

From a sleepy 2025 to a recovery 1Q26

- Solid 1Q26 operation greatly marred by a hefty hedging loss
- 2026 outlook remains bright on higher-for-longer oil and gas prices
- Maintain BUY and a SoTP TP of THB45

Operations grew handsomely in 1Q26

1Q26 net profit (NP) was THB25.7b, up 0.8% q-q and 10% y-y. Excluding non-recurring items, core NP stood at THB28.6b (+77% q-q, +21% y-y). Key points are 1) strong Gas EBIT (+42% q-q to THB11.6b) from solid GSP and S&T performance, boosted by higher Pool Gas cost; 2) a stronger Refining & chemical EBIT on a higher accounting GRM and chemical margins (+7.4x q-q to THB57.3b); 3) Oil trading EBIT improved (+11.5x q-q to THB40.8b); and 4) Oil EBIT surged by 113% q-q to THB5.3b on high gross margins. PTTEP's EBIT rose to by 41% q-q to THB34.5b, propelled by higher ASP. We highlight that PTT booked a hefty hedging loss of THB70b and THB10.3b impairment loss in 1Q26, mostly on commodity hedging (oil price hedging).

Gas business outshone in 1Q26

In 1Q26, gas EBITDA rose to THB16.4b (+25% q-q, +19% y-y), catalyzed by stronger performance for both S&T and GSP business. S&T volume rose to 4,019mmscfd (+8% q-q, +4% y-y), while GSP sales improved to 1.91mtpa (+14% q-q, +14% y-y), driven by lower gas cost and higher ASP. GSP utilization rate shot up to 96.1% in 1Q26, up from 90.4% in 4Q25 and 93% in 1Q25.

Margin spikes across all units

PTTEP's EBITDA jumped to THB55.6b in 1Q26, up 17% q-q and 6% y-y, driven by high ASP to USD46/boe (+8% q-q, +0.7% y-y) and higher sales volume to 553kboed (+3% q-q, +14% y-y). Market GRM surged to USD13.1/bbl (+64% q-q, +323% y-y), boosted by stronger gasoil and jet spreads and higher sales volume. USD16.9/bbl inventory gain and USD4.8/bbl hedging loss led to the spike in accounting GRM to USD25.2/bbl. Petrochemical performance improved, boosted by rising olefins/aromatics spreads thanks to impact of the Middle East war.

Still bullish on PTT ahead

We remained positive for PTT's net profit outlook as earnings will be driven by 1) lower gas cost for GSPs; 2) improving refinery earnings; 3) stronger PTTEP's NPs on higher oil and gas prices; 4) structural improvement in OR's earnings outlook on strategic shift and rising market margin. We think PTT is likely to extricate itself from the multi-year growth traps as geopolitical tensions structurally lift oil and gas prices higher while improving Thailand's politics further strengthen PTT's oil and gas earnings outlook.

Maintain BUY on Thailand's energy giant conglomerate

Maintain BUY and a SoTP TP of THB45. We believe the worst is over for PTT with downsides already priced in while upsides now grow on enhancing industry and regulatory environments. The higher-for-longer oil and particularly gas prices should benefit PTT's profits in 2026.

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ESG Rating : AAA

CG Rating : ▲▲▲▲▲

BUY

Target Price 12M (THB)	45.00
VS. BB Consensus TP (%)	+14.6%
Share Price (THB)	37.00
Upside/Downside	+21.6%

Share Data

Market Cap (THB m)	1,056,830.86
Par (THB)	1.00
Free Float (%)	48.88
Issued shares (m shares)	28,563

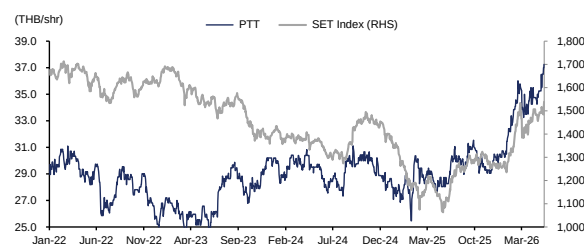
Financial forecast

YE Dec (THB m)	2025	2026E	2027E	2028E
Revenue	2,662,145	2,457,334	2,642,461	2,825,486
Net profit	90,166	119,311	114,118	126,155
Core net profit	90,166	119,311	114,118	126,155
vs Consensus (%)		16.8	8.5	12.2
Net profit growth (%)	0.1	32.3	(4.4)	10.5
Core net profit growth (%)	(4.7)	32.3	(4.4)	10.5
EPS (THB)	3.16	4.18	4.00	4.42
Core EPS (THB)	3.16	4.18	4.00	4.42
Chg from previous (%)		0.00	0.00	0.00
DPS (THB)	1.50	1.98	1.90	2.10
P/E (x)	10.14	8.86	9.26	8.38
P/BV (x)	0.81	0.89	0.85	0.80
ROE (%)	7.92	10.30	9.35	9.83
Dividend yield (%)	4.69	5.36	5.13	5.67

Source: Financial Statement and Globlex securities

Share Price Performance (%)

	1M	3M	6M	YTD
Stock	6.47	3.50	21.31	15.63
Market	5.74	(2.43)	2.94	(4.01)
12M High/Low (THB)				38.00 / 29.50



Major Shareholders (%) as of as of 06 Mar 2026

Ministry of Finance	51.38
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Company Profile

The Company's operated businesses consist of natural gas, gas transmission, international trading, new business and infrastructure business; the rest are invested through subsidiaries joint arrangements and associates, and PTT Group, namely exploration and production, liquefied natural gas, petrochemical and refining, oil and retail, power and utilities, coal and service businesses.

Source: SETSMART, SET

Exhibit 1: Summary of 1Q26 operations

	1Q25	4Q25	----- 1Q26 -----			2025	2026E	chg.
	(THB m)	(THB m)	(THB m)	(q-q%)	(y-y%)	(THB m)	(THB m)	(y-y%)
Revenue	700,223	638,479	718,729	12.6	2.6	2,662,145	2,457,334	(7.7)
Operating costs	(606,696)	(563,587)	(533,142)	5.4	12.1	(2,326,675)	(2,037,585)	12.4
EBITDA	93,527	74,892	185,587	147.8	98.4	335,470	419,749	25.1
EBITDA margin (%)	13.4	11.7	25.8	nm	nm	12.6	17.1	nm
Depn & amort.	(44,800)	(44,564)	(42,012)	5.7	6.2	(200,631)	(209,838)	(4.6)
EBIT	48,727	30,328	143,575	373.4	194.7	134,839	209,910	55.7
Interest expense	(10,985)	(8,916)	(8,239)	7.6	25.0	(40,448)	(39,853)	1.5
Interest & invt inc	8,294	16,111	12,633	(21.6)	52.3	20,016	-	nm
Associates' contrib	325	4,455	2,054	(53.9)	532.1	13,031	14,334	10.0
Exceptionals	3,546	6,883	(69,689)	(1,112.5)	(2,065.1)	47,888	47,852	(0.1)
Pretax profit	49,906	48,860	80,334	64.4	61.0	175,326	232,243	32.5
Tax	(16,074)	(11,976)	(23,872)	(99.3)	(48.5)	(57,600)	(76,300)	(32.5)
Tax rate (%)	(32.2)	(24.5)	(29.7)	nm	nm	32.9	32.9	nm
Minority interests	(8,499)	(5,098)	(15,885)	(211.6)	(86.9)	(27,559)	(36,632)	(32.9)
Net profit	23,315	25,535	25,738	0.8	10.4	90,166	119,311	32.3
Non-recurring	(227)	9,342	(2,851)	(130.5)	(1,158.5)	14,294	-	nm
Core net profit	23,542	16,193	28,589	76.6	21.4	75,872	119,311	57.3
EPS (THB)	0.82	0.89	0.90	0.8	10.4	3.16	4.18	32.3
Core EPS (THB)	0.82	0.57	1.00	76.6	21.4	2.66	4.18	57.3

Sources: PTT, Globlex Research

Exhibit 2: 1Q26 performance of key segments

	1Q25	4Q25	1Q26	Change	
	(THB m)	(THB m)	(THB m)	(q-q %)	(y-y %)
EBITDA	93,527	74,892	185,587	147.8	98.4
Oil	6,547	4,254	7,228	69.9	10.4
Oil trading	1,068	(3,444)	41,223	1,297.0	3,759.8
Gas	13,801	13,156	16,431	24.9	19.1
PTTEP	52,281	47,642	55,558	16.6	6.3
Petrochem and refining	13,375	10,146	67,916	569.4	407.8
Others	(341)	(582)	(307)	47.3	10.0
EBIT*					
Oil	4,757	2,462	5,249	113.2	10.3
Oil trading	611	(3,894)	40,795	1,147.6	6,576.8
Gas	9,166	8,208	11,635	41.8	26.9
PTTEP	29,227	24,390	34,447	41.2	17.9
Petrochem and refining	2,320	(787)	57,291	7,379.7	2,369.4
Others	(995)	(1,220)	(901)	26.1	9.4
Share of profit/(loss) - Petrochem and refining	(1,109)	(1,057)	(126)	88.1	88.6
Share of profit/(loss) - Others	1,434	5,512	2,180	(60.4)	52.0
Loss on impairment of assets	673	(3,295)	(10,271)	(211.7)	(1,626.2)
Gain (loss) on derivatives	(960)	6,683	(70,810)	(1,159.6)	(7,276.0)
Gain (loss) on FX	4,507	200	1,121	460.5	(75.1)
Net profit	23,315	25,535	25,738	0.8	10.4

* Note: EBIT includes exceptionals, share of profit (loss), and investment income, hence it differs from EBIT in Exhibit 1, which excludes these items

Source: PTT, Globlex Research

Exhibit 3: 1Q26 key quarterly drivers

	Unit	1Q25	4Q25		----- 1Q26 -----	
					(q-q %)	(y-y %)
Oil sales volume	bpd	458,619	423,477	453,491	7.1	(1.1)
Gas sales volume	mmscfd	3,863	3,725	4,019	7.9	4.0
GSP volume	tonnes	1,669,382	1,671,658	1,909,296	14.2	14.4
GSP utilization*	%	93.0	90.4	96.1	5.7	3.1
PTTEP's ASP	USD/boe	45.7	42.6	46.0	8.0	0.7
PTTEP's sales volume	boed	484,218	539,523	553,369	2.6	14.3
Market GRM	USD/bbl	3.1	8.0	13.1	63.8	322.6
Inventory gain(loss)	USD/bbl	0.6	(3.2)	16.9	628.1	2,716.7
Hedging gain (loss)	USD/bbl	0.4	(0.8)	(4.8)	(500.0)	(1,300.0)
Accounting GRM	USD/bbl	4.1	4.0	25.2	530.0	514.6
Net profit	THB m	23.315	25.535	25.738	0.8	10.4

* Note: Change in margin % is represented in ppt change

Sources: PTT, Globlex Research

Balance sheet (THB m)					
Year ending Dec	2024	2025	2026E	2027E	2028E
Current assets					
Cash & ST investment	406,358	348,036	588,237	617,525	716,428
Account receivable	251,391	208,413	192,379	206,872	221,201
Inventories	241,539	209,429	193,317	207,881	222,279
Others	367,069	409,192	463,326	552,966	523,859
Non-current assets					
Net fixed assets	249,659	159,523	60,179	(48,374)	(166,133)
Others	1,922,769	1,935,067	1,854,134	1,785,767	1,922,768
Total Assets	3,438,784	3,269,660	3,351,571	3,322,638	3,440,401
Current liabilities					
Account payable	307,660	284,548	262,657	282,444	302,007
ST borrowing	130,733	138,718	146,703	154,687	162,672
Others	130,696	142,492	142,492	142,492	142,492
Long-term liabilities					
Long-term debts	814,719	840,373	790,373	690,373	590,373
Others	398,100	211,045	295,579	240,868	325,201
Total liabilities	1,781,907	1,617,176	1,637,803	1,510,865	1,522,746
Paid-up capital	28,563	28,563	28,563	28,563	28,563
Retained earnings	1,091,878	1,069,648	1,132,266	1,192,158	1,258,368
Others	29,211	29,211	29,211	29,211	29,211
Minority interest	507,225	525,062	523,728	561,841	601,513
Shareholders' equity	1,656,877	1,652,484	1,713,768	1,811,773	1,917,655

Key ratios					
Year ending Dec	2024	2025	2026E	2027E	2028E
Growth (%YoY)					
Sales	(1.7)	(13.9)	(7.7)	7.5	6.9
Operating profit	(9.3)	(10.3)	25.1	(0.3)	5.5
EBITDA	(9.3)	(10.3)	25.1	(0.3)	5.5
Net profit	(19.6)	0.1	32.3	(4.4)	10.5
Core net profit	(16.0)	(4.7)	32.3	(4.4)	10.5
EPS	(19.6)	0.1	32.3	(4.4)	10.5
Core EPS	(16.0)	(4.7)	32.3	(4.4)	10.5
Profitability (%)					
Gross margin	16.6	17.3	19.1	17.8	17.6
Operation margin	12.1	12.6	17.1	15.8	15.6
EBITDA margin	12.1	12.6	17.1	15.8	15.6
Net margin	2.9	3.4	4.9	4.3	4.5
ROE	8.3	7.9	10.3	9.4	9.8
ROA	4.0	3.9	5.5	5.3	5.5
Stability					
Interest bearing debt/equity (x)	0.6	0.6	0.5	0.5	0.4
Net debt/equity (x)	0.3	0.4	0.2	0.1	0.0
Interest coverage (x)	3.9	3.3	5.3	5.5	6.8
Interest & ST debt coverage (x)	1.0	0.8	1.1	1.0	1.1
Cash flow interest coverage (x)	0.2	0.2	0.2	0.2	0.2
Current ratio (x)	2.2	2.1	2.6	2.7	2.8
Quick ratio (x)	1.2	1.0	1.4	1.4	1.5
Net debt (THB m)	539,094	631,054	348,839	227,536	36,618
Activity					
Asset turnover (X)	0.9	0.8	0.7	0.8	0.8
Days receivables	30.2	31.5	29.8	27.6	27.6
Days inventory	35.8	37.4	37.0	33.7	33.7
Days payable	44.7	49.1	50.2	45.8	45.8
Cash cycle days	21.3	19.8	16.5	15.5	15.6

Profit & loss (THB m)					
Year ending Dec	2024	2025	2026E	2027E	2028E
Revenue	3,090,453	2,662,145	2,457,334	2,642,461	2,825,486
Cost of goods sold	(2,577,909)	(2,200,509)	(1,988,438)	(2,171,248)	(2,327,582)
Gross profit	512,544	461,636	468,896	471,213	497,903
Operating expenses	(138,658)	(126,167)	(49,147)	(52,849)	(56,510)
Operating profit	373,886	335,470	419,749	418,364	441,394
EBIT	182,464	134,839	209,910	199,318	213,139
Depreciation	(191,423)	(200,631)	(209,838)	(219,046)	(228,254)
EBITDA	373,886	335,470	419,749	418,364	441,394
Non-operating income	10,711	20,016	0	0	0
Other incomes	0	0	0	0	0
Other non-op income	10,711	20,016	0	0	0
Non-operating expense	(5,829)	7,441	7,999	11,629	16,480
Interest expense	(46,821)	(40,448)	(39,853)	(36,187)	(31,299)
Other non-op expense	40,992	47,888	47,852	47,816	47,780
Equity income/(loss)	(6,668)	13,031	14,334	15,767	17,344
Pre-tax Profit	180,678	175,326	232,243	226,713	246,963
Extraordinary items					
Current taxation	(67,210)	(57,600)	(76,300)	(74,483)	(81,136)
Minorities	(23,396)	(27,559)	(36,632)	(38,113)	(39,672)
Net Profit	90,072	90,166	119,311	114,118	126,155
Core net profit	94,596	90,166	119,311	114,118	126,155
EPS (THB)	3.15	3.16	4.18	4.00	4.42
Core EPS (THB)	3.31	3.16	4.18	4.00	4.42

Cash flow (THB m)					
Year ending Dec	2024	2025	2026E	2027E	2028E
Operating cash flow	284,439	290,072	330,193	333,164	350,772
Net profit	90,072	90,166	119,311	114,118	126,155
Depre. & amortization	191,423	200,631	209,838	219,046	228,254
Change in working capital	2,944	(725)	1,044	0	(3,637)
Others	0	0	0	0	0
Investment cash flow	(200,867)	(183,263)	(176,063)	(179,508)	(168,100)
Net CAPEX	(203,000)	(185,100)	(177,900)	(179,508)	(168,100)
Change in LT investment	0	0	0	0	0
Change in other assets	2,133	1,837	1,837	0	0
Free cash flow	83,573	106,809	154,130	153,656	182,672
Financing cash flow	(143,236)	(82,336)	(95,055)	(183,180)	(131,320)
Change in share capital	0	0	0	0	0
Net change in debt	(20,320)	0	0	0	0
Dividend paid	(23,598)	(22,952)	(23,249)	(21,011)	(33,034)
Others	(99,318)	(59,384)	(71,806)	(162,168)	(98,286)
Net cash flow	(59,664)	24,473	59,075	(29,524)	51,352
Per share (THB)					
EPS	3.15	3.16	4.18	4.00	4.42
Core EPS	3.31	3.16	4.18	4.00	4.42
CFPS	10.67	11.15	12.81	13.00	13.80
BVPS	40.25	39.47	41.66	43.76	46.08
Sales/share	108.20	93.20	86.03	92.51	98.92
EBITDA/share	13.09	11.74	14.70	14.65	15.45
DPS	1.50	1.50	1.98	1.90	2.10
Valuation					
P/E (x)	10.1	10.1	8.9	9.3	8.4
P/BV (x)	0.79	0.81	0.89	0.85	0.80
Dividend yield (%)	4.72	4.69	5.36	5.13	5.67
Dividend payout ratio (%)	47.57	47.52	47.52	47.52	47.52

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Analyst Certification

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RECOMMENDATION STRUCTURE

Stock Recommendations

Stock ratings are based on absolute upside or downside, which we define as (target price* - current price) / current price.

BUY: Expected return of 10% or more over the next 12 months.
HOLD: Expected return between -10% and 10% over the next 12 months.
REDUCE: Expected return of -10% or worse over the next 12 months.

Unless otherwise specified, these recommendations are set with a 12-month horizon. Thus, it is possible that future price volatility may cause temporary mismatch between upside/downside for a stock based on market price and the formal recommendation.

* In most cases, the target price will equal the analyst's assessment of the current fair value of the stock. However, if the analyst doesn't think the market will reassess the stock over the specified time horizon due to a lack of events or catalysts, then the target price may differ from fair value. In most cases, therefore, our recommendation is an assessment of the mismatch between current market price and our assessment of current fair value.

Sector Recommendations

Overweight: The industry is expected to outperform the relevant primary market index over the next 12 months.
Neutral: The industry is expected to perform in line with the relevant primary market index over the next 12 months.
Underweight: The industry is expected to underperform the relevant primary market index over the next 12 months.

Country (Strategy) Recommendations

Overweight: Over the next 12 months, the analyst expects the market to score positively on two or more of the criteria used to determine market recommendations: index returns relative to the regional benchmark, index sharpe ratio relative to the regional benchmark and index returns relative to the market cost of equity.

Neutral: Over the next 12 months, the analyst expects the market to score positively on one of the criteria used to determine market recommendations: index returns relative to the regional benchmark, index sharpe ratio relative to the regional benchmark and index returns relative to the market cost of equity.

Underweight: Over the next 12 months, the analyst does not expect the market to score positively on any of the criteria used to determine market recommendations: index returns relative to the regional benchmark, index sharpe ratio relative to the regional benchmark and index returns relative to the market cost of equity.